EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Camalaniugan is classified as a fourth-class municipality covering an area of 76.50 square kilometers or 29.54 square mile, which constitutes 0.81% of Cagayan's total area. Its area is distributed among twenty-eight (28) barangays. Seven (7) are classified as urban barangays and the remaining twenty-one (21) as rural barangays. Dammang Sur and Dammang Norte have the biggest land area among the twenty-eight (28) barangays.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Camalaniugan for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	459,858,544.60	401,570,732.82	58,287,811.78
Liabilities	98,698,694.71	72,358,337.65	26,340,357.06
Government Equity	361,159,849.89	329,212,395.17	31,947,454.72
Financial Performance			
Income	148,651,742.76	167,808,788.43	(19,157,045.67)
Expenses	146,603,080.33	140,331,668.30	6,271,412.03
Net Income	2,048,662.43	27,477,120.13	(25,428,457.70)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Concreting of Bantay - Fusina - Tulutuging Road	P9,910,422.13
Construction Drainage Canal at Brgy. Dugo	4,696,203.31
Concreting of Farm to Market Road at Brgy. Paragat	484,690.00
Continuation of Concreting of Access Road at Sanitary Landfill	467,560.00
Completion of Roofing of the existing bleacher implemented by DPWH at Brgy. Dacal la Fugu	961,710.00
Construction of Two-storey Drug Rehabilitation Facility at Brgy. Sapping	4,979,419.92
Construction of Three-span bleacher at Brgy. Dacal La Fugu	2,693,495.70
Construction of Vermi Composting Shed at Brgy. Fusina	745,556.00
Total	**P24,939,057.06**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the fairness of the presentation of the financial statements of the LGU of Camalaniugan, Cagayan as at December 31, 2023.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The balance of the Property, Plant and Equipment totaling P327,183,702.01 as at December 31, 2023 could not be ascertained due to: a) non-transfer of motor vehicle amounting to P1,680,000.00 from the Trust Fund to the General Fund; and b) non-recording of donations from the Provincial Government of Cagayan (PGC) totaling P1,377,819.63, contrary to International Public Sector Accounting Standard 17 - Property, Plant and Equipment and Item 5.1.14 of COA Circular No. 2012-002 dated September 14, 2002, thus, affecting the fair presentation of the account in the financial statements.

   We recommended that the Municipal Mayor:

   a) Direct the GSO to communicate with the PGC for the execution of the deeds of donation in order to establish the ownership and control over the properties;

b) Direct the Municipal Accountant to record the necessary adjusting entries to recognize the transfer of asset from one fund to another in order to present a fair and reliable balance of the Property, Plant and Equipment in accordance with IPSAS 17; and

c) Thereafter, record the donations from PGC after establishing the ownership and control over the properties.

2. Projects totaling P2,064,308.97, appropriated and charged against the 20% Development Fund of the Municipality for CY 2023, are not among the allowed development projects provided in Sections 2.3, 3.0 and 4.0 of the DILG and DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, thus, defeating the purpose for which the fund was established.

   We recommended that the Management align the projects to be funded in the 20% Development Fund with the allowed priority projects, in compliance with the provisions of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, in order to contribute to the socio-economic development and environmental management of the Municipality.

3. Unexpended prior years' Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to P3,875,313.35 were not incorporated in the LDRRMF Investment Plan for CY 2023, contrary to Item 6.5 of the NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-1 dated March 25, 2013 and COA Circular 2012-002 dated September 12, 2012, hence, the fund was not fully utilized for programs/projects that potentially mitigate the impacts of disaster and calamities.

   We recommended that the Management include in the LDRRMF Investment Plan or revised Annual Investment Plan (AIP) the projects/activities/programs chargeable against the "Trust Liabilities- DRRMF" account of prior years' unexpended balance, pursuant to NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-1 dated March 25, 2013 and strictly comply with the accounting guidelines and disclosures of LDRRMF under COA Circular No. 2012-002.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2022 Annual Audit Report, six (6) were fully implemented while two (2) were partially implemented.